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Q.No

Q.No

1 A

Cost estimation.

Cost estimation is when we analyse all the expenditure of all the processes and estimate a cost which is to be estimated.

Engineering cost estimation can be used to estimate the costs and help align with the Budget. With this said information it will be easier for the manager to analyse and take decisions accordingly.

B

Budget and Forecast.

Budget

A budget is a financial estimation for a thing and keeping it for that limit. Ex- the budget for the movie is 5 cr

Forecast

The forecast is the actual outcome from the certain scenario and that information can be used for documentation.

Q.No

C1

Fixed costs-

Fixed costs are cost that are fixed. The cost of it cannot be changed and will not change due to any external factor.

Fixed cost are fixed costs. Ex: The maintenance repair cost is fixed as we can't change it.

D1

Break even point (BEP)

BEP is a point for where when there is no profit nor any loss. The investment and the return are both the same.

The BEP is a base stability point as there is no loss to worry about and there is no profit gained also.

Q.No

E/

$$SP = 40$$

$$VC = 25$$

$$FC = 7500$$

$$= \frac{7500}{40 - 25}$$

$$= \frac{7500}{15}$$

$$BEP = 500$$

F/

Given.

$$\text{selling price} = 100/-$$

$$\text{variable cost} = 60$$

$$\frac{60}{100} = 0.6$$

$$100 - 60 = 40$$

$$P/V \text{ Ratio} = 0.6$$

Q.No

2 A

Engineering cost estimation. in production.

Engineering Cost estimation has its significance in production. In production Engineering cost estimation has significance.

Cost estimation is estimating the cost at every point in the process before the final output, and it is important. With this we can analyze the cost and budget accurately.

In production with cost estimation we can analyze which process is using low much cost and cross analyze it that is important or not. With said analysis the management of production can take managerial decisions for the betterment of the whole.

Engineering cost estimation has its significance in production.

Q.No

B/

Flexible budgeting

Flexible budget is when we ~~are~~ have a variable factor in our budget. We can't ~~fix~~ ~~into~~ a certain ~~also~~ but we can ~~fix~~ to a price range. This is because one or many are affected by external factors.

Flexible budgeting itself has its advantages. Even a flexible budget we will have some freedom and some ~~things~~ for the product.

When one or more ^{costs} are affected by external factors, this is when we take up a flexible budget.

Q.No

C

A company reports.

Lubricating oil : 4000

Cotton waste : 1500

Cleaning materials : 1000

Small tools : 2500

Raw materials : 80000

- 10000 units at ~~40%~~ capacity

$$\text{Material overruns} = 4000 + 1500 + 1000 + 2500 \\ = 9000$$

~~$$80000 \times 9 + 10000$$~~

~~$$= 59000 + 1000$$~~

$$\text{Direct materials} = 80000$$

$$\text{Total material cost} = 89000$$

Q.No

D

make or buy.

Cost to make : 70

Cost to buy : 65

By buy the plant can use the freed capacity to earn £8 per unit.

In given data Make $\geq$ buy, so it's optimal to buy the component.

In make or buy we need to check both the prices and chose the one with lowest price.

In given data Make is more than buy, so it's optimal to buy the component.

Q.No

3.

A Company produces 4000 units at 48%.

$$\cdot \text{Direct materials} = 16\ 000$$

$$\cdot \text{Direct labour} = 12\ 000$$

$$\cdot \text{variable overheads} = 8\ 000$$

$$\cdot \text{Fixed overheads} = 10\ 000$$

Flexible Budgets for 6000 units and 10000 units

6000 units

$$\begin{aligned} &= (6\ 000 \times 9) + 10\ 000 \\ &= 54\ 000 + 10\ 000 \\ &= 64\ 000 \end{aligned}$$

10000 units

$$\begin{aligned} &= (10\ 000 \times 9) + 10\ 000 \\ &= 90\ 000 + 10\ 000 \\ &= 100\ 000 \end{aligned}$$

Q.No

5 Make or Buy.

When in a make or buy decision there are many factors to analyze

- Cost
- profit.
- Free capacity
- Stock availability
- Indirect costs
- Labour
- Long term
- Location.
- Time period

In a make or buy decision we take all the factors into account and analyze it, we select the one which is cheaper and better for use.

With this analysis it is good and with this analysis documentation ~~we can~~ we can give it to the management. With the given data the management can take managerial decisions.

Q.No

Q.No

Q.No

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Q.No